

Amendment No. 1 to SB1908

Gardenhire
Signature of Sponsor

AMEND Senate Bill No. 1908

House Bill No. 1837*

by deleting all language after the enacting clause and substituting:

SECTION 1. This act is known and may be cited as the "Tennessee Private Property Vesting Rights of 2026."

SECTION 2. Tennessee Code Annotated, Title 29, Chapter 16, Part 1, is amended by adding the following as a new section:

29-16-127.

(a) If the existing rights to use, divide, sell, or possess private real property or any interest therein are reduced by the enactment or applicability of a land use regulation enacted by a public entity after the date the property has been acquired by the owner and such enactment or application has the effect of reducing the fair market value of the property, then the property owner is entitled to just compensation from the public entity.

(b) Just compensation is equal to the reduction in the fair market value of the affected property interest resulting from enactment or application of the land use regulation as of the date the owner makes written demand for compensation under subsection (d).

(c)

(1) Subsection (a) does not apply to land use regulations:

(A) Restricting or prohibiting activities commonly and historically recognized as public nuisances under common law. This subdivision

(c)(1)(A) must be construed narrowly in favor of a finding of compensation under this section;

(B) Restricting or prohibiting activities for the protection of public health and safety, such as fire and building codes, health and sanitation regulations, solid or hazardous waste regulations, regulations to control traffic and parking safety, and pollution control regulations;

(C) To the extent the land use regulation is required to comply with federal law;

(D) Restricting or prohibiting the use of a property for the purpose of selling pornography or performing nude dancing. This subdivision (c)(1)(D) does not affect or alter rights provided by the Tennessee or United States constitutions with respect to such activities; or

(E) Enacted prior to the date of acquisition of the property by the property owner or a family member of the property owner who owned the subject property prior to acquisition or inheritance by the property owner, whichever occurred first.

(2) The public entity that enacted the land use regulation has the burden of demonstrating that the land use regulation is exempt pursuant to this subsection (c).

(d) The property owner must commence an action for just compensation under subsection (a) within three (3) years of the enactment of the land use regulation or the date the property owner submits a land use application in which the land use regulation is an approval criterion, whichever is later. A written demand for just compensation made by the owner of the property pursuant to this section is an exhaustion requirement that tolls the statute of limitations for ninety (90) days or the length of time within which the public entity that enacted the land use law denies the written demand, whichever is less.

(e) If a land use regulation continues to apply to the subject property more than ninety (90) days after the property owner has made written demand for compensation under this section and compensation has not been paid, then the property owner has a cause of action for compensation under this section in the circuit court for the county in which the real property is located, and the property owner is entitled to reasonable attorney fees, expenses, and costs reasonably incurred to collect the compensation. A court shall calculate fair market value based on the best available evidence, which may include one (1) or more certified appraisals.

(f) The failure of a property owner to file an application for a land use permit with the local government is not grounds for dismissal, abatement, or delay of a compensation claim under subsection (e).

(g) In lieu of payment of just compensation, the public entity responsible for enacting or enforcing the land use regulation may modify, remove, or waive the land use regulation to allow the property owner to use the property for a use permitted at the time the property owner acquired the property. A modification, removal, or waiver of a land use regulation made pursuant to a demand by a property owner pursuant to this section runs with the land.

(h) As used in this section:

(1) "Family member" includes the spouse, child, stepchild, child-in-law, parent, stepparent, parent-in-law, sibling, stepsibling, sibling-in-law, aunt, uncle, niece, nephew, grandparent, or grandchild of the owner of the property, an estate of any family member, or a legal entity owned by any family member or combination of family members or the owner of the property;

(2) "Land use regulation" means a statute, rule, ordinance, resolution, or law enacted by this state or a political subdivision of this state that regulates the use or division of land or any interest in land;

(3) "Property owner" means the present owner of the property or an interest therein; and

(4) "Public entity" means this state, a state agency, a local government, a local government instrumentality, or any other authority, board, district, instrumentality, or entity created by this state, a state agency, local government, a local government instrumentality, or combination thereof.

(i) The remedy created by this section is in addition to any other remedy under state law or the Tennessee or United States constitutions and does not modify or replace any other remedy.

(j) This section does not remove or reduce the ability of this state or a local government to impose licensing or permitting requirements for land use purposes.

SECTION 3. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 4. This act takes effect upon becoming a law, the public welfare requiring it.